

#	Case Name	Tentative
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55.	Bruce v. Vaagen 2023-01300922	Plaintiff Lori Anne Bruce's motion for leave to file a supplemental complaint is GRANTED. (Code Civ. Proc., § 473, subd. (a) [authorizing amendment]; <i>Mabie v. Hyatt</i> (1998) 61 Cal.App.4th 581, 596 [strong policy favoring liberal granting of amendments]; <i>Higgins v. Del Faro</i> (1981) 123 Cal.App.3d 558, 564-565 [absent prejudice, delay alone insufficient to deny amendment; no prejudice shown here].) Moving party attached a copy of the proposed Supplemental Complaint as an exhibit to the moving papers, which cannot be detached for filing. Moving party shall separately e-file the proposed Supplemental Complaint (Ex. 14) within five days, which shall be deemed served upon filing. Separate e-filing is required to ensure the pleading is properly indexed in the court's electronic filing system. Moving party shall give notice.
56.	Sagebrush LLC v. Anthem Blue Cross Life and Health Insurance Company 2023-01332466	<u>Demurrer to First Amended Complaint</u> Defendant Anthem Blue Cross Life and Health Insurance Company's demurrer to first amended complaint is SUSTAINED without leave to amend as to the third cause of action for unjust enrichment, and SUSTAINED as to all other causes of action with 10 days leave to amend. Plaintiff Sagebrush LLC shall serve and file any second amended complaint by no later than 12/19/24.

1st cause of action, breach of implied contract. The first amended complaint (FAC) fails to state facts sufficient to constitute a cause of action for breach of implied contract. (See *Oasis West Realty, LLC v. Goldman* (2011) 51 Cal.4th 811, 821 [elements]; *Aton Center, Inc. v. United Healthcare Ins. Co.* (2023) 93 Cal.App.5th 1214, 1230 (*Aton*) [same]; see *id.* at p. 1231 [contract formation requires mutual assent].)

The FAC fails to state facts sufficient to allege the existence of an implied contract by which defendant agreed to pay 100% of the subject claims. Contrary to plaintiff's allegations and contentions, an insurer's mere verification of benefits (see FAC ¶¶ 30, 36) or preauthorization of treatment (*id.* ¶¶ 31-32, 36) does not amount to a promise to pay 100% of plaintiff's charges. (See *Aton, supra*, 93 Cal.App.5th at pp. 1235-1236, 1238-1239; see also *Pacific Bay Recovery, Inc. v. California Physicians' Services, Inc.* (2017) 12 Cal.App.5th 200, 216 (*Pacific Bay*).) Further, the mere fact that defendant knew how much plaintiff's services cost and "authorized and requested" that plaintiff provide services to its insureds (FAC ¶¶ 32-33, 36) does not somehow show defendant agreed to be 100% liable for those costs. Finally, the mere fact that defendant has historically paid 100% of plaintiff's charges (see *id.* ¶¶ 16 [alleging the existence of agreement to pay 100% of plaintiff's services "based on the parties' prior transactions"], 38), does not demonstrate an agreement or mutual understanding that defendant will continue to pay plaintiff at that rate. Rather, "this only establishes [plaintiff's] unilateral expectation that [defendant's] future reimbursements w[ill] reflect its historical payment rates; it does not establish that the parties mutually agreed ... that [defendant's] payment of the subject claims would comport with its payment of prior claims." (*Aton*, at p. 1238.)

2nd cause of action, unfair business practices. The FAC fails to state facts sufficient to constitute a cause of action for unfair business practices, with the requisite particularity. (See Bus. & Prof. Code, § 17200 [UCL]; *Cel-Tech Comm., Inc. v. Los Angeles Cellular Tele. Co.* (1999) 20 Cal.4th 163, 195 [unlawful prong]; *Farmers*

Ins. Exchange v. Superior Court (1992) 2 Cal.4th 377, 389 [unfair prong]; *Paduano v. American Honda Motor Co., Inc.* (2009) 169 Cal.App.4th 1453, 1469 [fraudulent prong]; see also *Covenant Care, Inc. v. Superior Court* (2004) 32 Cal.4th 771, 790 [reasonable particularity]; *Gutierrez v. Carmax Auto Superstores California* (2018) 19 Cal.App.5th 1234, 1262, 1261 [like other statutory causes of action, a UCL claim must be pled with reasonable particularity].)

To the extent the UCL claim is based on defendant's alleged failure to fully pay plaintiff for services rendered to defendant's insureds (see FAC ¶¶ 14, 45-47), the FAC fails to allege facts establishing defendant's obligation to pay anything more than it has already paid. (See *Aton, supra*, 93 Cal.App.5th at pp. 1235-1236, 1238-1239; see also *Pacific Bay, supra*, 12 Cal.App.5th at p. 216.)

To the extent the claim is based on Insurance Code section 10144.57, subdivision (c) (see FAC ¶ 48a-d), nothing in the FAC suggests plaintiff provided poststabilization care. (See Ins. Code, § 10144.57, subd. (c) [applicable to poststabilization care].)

Finally, to the extent the claim is based on Civil Code section 3275 (see FAC ¶ 48e), it fails to allege any facts explaining how this section applies.

3rd cause of action, unjust enrichment. Unjust enrichment is not a cause of action in California. (See *City of Oakland v. Oakland Raiders* (2022) 83 Cal.App.5th 458, 477; *Munoz v. MacMillan* (2011) 195 Cal.App.4th 648, 661.) Rather, it is synonymous with circumstances in which a plaintiff is entitled to a restitution remedy. (*Ibid.*) To the extent plaintiff is attempting to allege a quasi-contract claim for restitution/quantum meruit, the FAC already alleges such a claim. (Compare FAC ¶¶ 55-56 [third cause of action], with *id.* ¶¶ 58-66 [fourth cause of action for quantum meruit].)

4th cause of action, quantum meruit. The FAC fails to state facts sufficient to constitute a cause of action for quantum meruit. (See *Pacific Bay, supra*, 12 Cal.App.5th at pp. 214-215 [“To recover in quantum meruit, the ‘plaintiff must establish *both* that [it] was acting pursuant to either an *express or implied request* for such services from the defendant *and* that the services rendered were *intended to and did benefit* the defendant’; further, the defendant must have ‘retained [the] benefit with full appreciation of the facts....’ ”].)

The FAC fails to allege facts supporting the conclusory allegation that defendant benefited from plaintiff’s services. It alleges: “Sagebrush’s provision of medically necessary behavioral health care and treatment to Patients was intended to and, in fact, did benefit Defendants in that Patients were provided with excellent behavioral health care and treatment, which Defendants were obligated to arrange, pay for and/or provide at its own expense.” (FAC ¶¶ 53, 65.) But this only alleges a benefit intended for and received by defendant’s insureds, not the defendant. (See *id.* ¶ 3 [defendant is an insurer]; see also *Armijo v. ILWU-PMA Welfare Plan* (C.D. Cal., Aug. 21, 2015) 2015 WL 13629562 at *24 [“services provided by medical providers to patients do not inure to the benefit of insurers”].) Plaintiff does not, for example, allege any facts showing that by providing behavioral health services to defendant’s insureds, plaintiff somehow relieved defendant of its obligation to arrange for the same under defendant’s policies with its insureds such that defendant should now be liable for the reasonable value of those services. Indeed, plaintiff alleges it did not even know defendant was financially responsible for the patients’ services until after it had already started providing them. (See *id.* ¶¶ 61-62; but see *id.* ¶¶ 16, 31 [contradictory preauthorization allegations]; see also *Hartford Casualty Ins. Co. v. J.R. Marketing, L.L.C.* (2015) 61 Cal.4th 988, 1000 [“When a [plaintiff] acts simply as [it] would have done in any event, out of duty or self-interest, [it] cannot equitably claim compensation from anyone who merely happens to benefit as a result.”].)

It also remains uncertain as to how plaintiff's provision of out-of-network services to defendant's insureds benefited defendant, when defendant had "no contractual right to any contractual discount off [plaintiff's] billed charges" and was therefore purportedly required to pay 100% of those charges. (See FAC ¶¶ 1, 6-8, 21.)

5th cause of action, open book account. The FAC fails to state facts sufficient to constitute a cause of action for open book account. (See *State Compensation Insurance Fund v. ReadyLink Healthcare, Inc.* (2020) 50 Cal.App.5th 422, 449 [elements]; Code of Civil Procedure section 337a ["The term 'book account' means a detailed statement which constitutes the principal record of one or more transactions between a debtor and a creditor arising out of a contract or some fiduciary relation, and shows the debits and credits in connection therewith, and against whom and in favor of whom entries are made, is entered in the regular course of business as conducted by such creditor or fiduciary, and is kept in a reasonably permanent form and manner...."].)

ERISA contentions. To the extent defendant demurs to the FAC on the ground it is preempted by ERISA, the argument fails because it relies on extrinsic evidence that cannot be considered on demurrer (*Ion Equipment Corp v. Nelson* (1980) 110 Cal.App.3d 868, 881; see King Decl. ¶ 4) and does not dispose of an entire cause of action. (*Fremont Indem. Co. v. Fremont General Corp.* (2007) 148 Cal.App.4th 97, 119 [a demurrer must dispose of an entire cause of action to be sustained].)

Motion to Strike Portions of First Amended Complaint

Defendant Anthem Blue Cross Life and Health Insurance Company's motion to strike portions of first amended complaint is DENIED AS MOOT, in light of the ruling on the demurrer above.

		Defendant shall give notice.
57.	Zamarron v. State of California 2023-01369253	Defendant County of Riverside's demurrer to the complaint is OVERRULED. County of Riverside shall answer the complaint within 10 days. <u>1st cause of action, negligence.</u> The complaint states facts sufficient to constitute this cause of action based on Government Code section 835, with the requisite particularity. (See Gov. Code, § 835 [dangerous condition of public property]; <i>Amiodarone Cases</i> (2022) 84 Cal.App.5th 1091, 1115 [reasonable particularity]; <i>Searcy v. Hemet Unified School Dist.</i> (1986) 177 Cal.App.3d 792, 802 [same]; see also Compl. ¶ GN-1(1)-(3), (5), (6), (7) [citing Gov. Code, § 835], (8)-(13).) As for defendant's contention that the claim fails to state facts sufficient to constitute a cause of action to the extent it is based on Government Code sections 815.2 and 820, it fails to dispose of the entire cause of action. (See <i>Fremont Indem. Co. v. Fremont General Corp.</i> (2007) 148 Cal.App.4th 97, 119.) <u>2nd cause of action, premises liability.</u> The complaint states facts sufficient to constitute this cause of action, with the requisite particularity. (See Gov. Code, § 835; <i>Amiodarone Cases, supra</i>, 84 Cal.App.5th at p. 1115 [reasonable particularity]; <i>Mathews v. Becerra</i> (2019) 8 Cal.5th 756, 768 [on demurrer, the court reads the complaint as a whole and its parts in their context]; see also Compl. ¶¶ GN-1, Prem.L-1, Prem.L-2, Prem.L-4, Prem.L-5.) Moving party shall give notice.
58.	Carpenter v. Garden Grove Post Acute LLC 2024-01410556	Plaintiff Carolyn Carpenter's motions to compel defendant Garden Grove Post Acute, LLC to provide further (1) responses to Form Interrogatories, Set One, and (2) responses to Requests for Admissions,